

Fearnleys Dry Bulk Weekly

Sep 4, 2024

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Capesize/Newcastlemax

Something for the bears and the bulls now.

The bears can still point to falling imported iron ore consumption in China, which usually leads the Capesize market by around 1.5 months. We went through this indicator in more detail in our previous report.

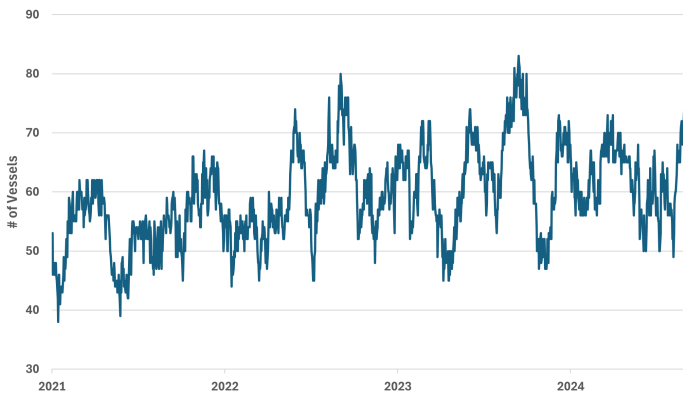
The bears can also point to the iron ore price lead, which suggests a downtrend through Q4. The Capesize market has seen lower highs since the market peak in mid-March.

Important to note: The above two factors could be counteracted by continued iron ore inventory building in China

Finally, the bears can point to the high ratio against the BPI5TC, which often signals a top.

On the other hand, the number of VLOCs sailing toward Brazil has increased significantly and is now at a level that since 2021 has been followed by sideways or rising markets over the following 2 months. Asian coal demand and increased Bauxite shipments are other factors that should be supportive in Q4.

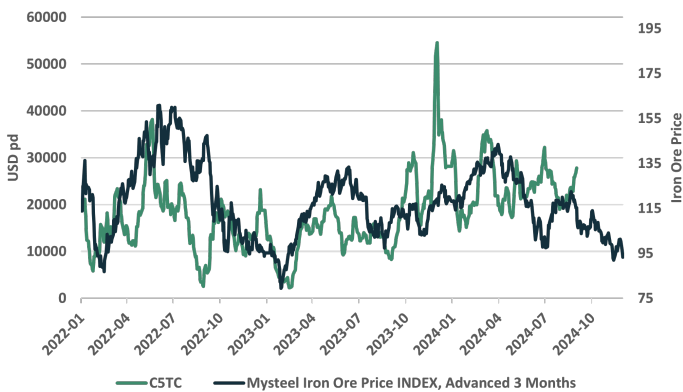
VLOCs Sailing Toward Brazil



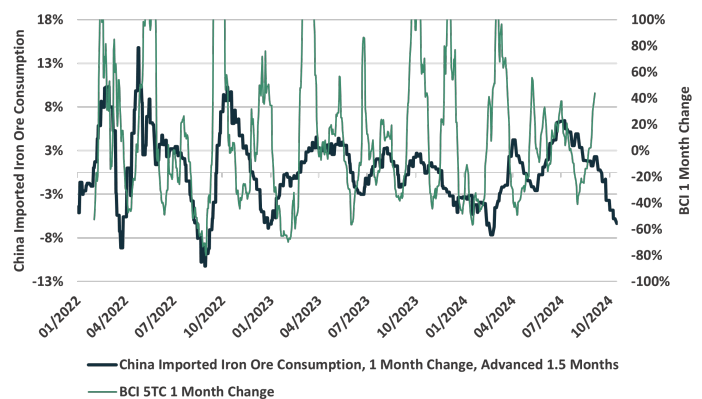
VLOC Brazil Congestion



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



Panamax/Kamsarmax

Last week, we wrote the following:

The US grains season has not yet started, and in the Pacific things are quiet. As we have pointed to the last weeks in this report, these factors might turn in September.

Otherwise, the Kamsarmax index has dropped significantly below the BSI58 index, which since the index inception in 2018 has been followed by a rebound every time.

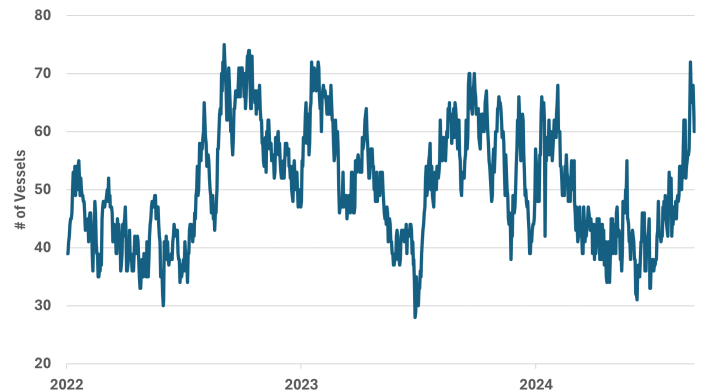


We see an increasing amount of vessels heading to the US, so the grain season is underway and could be a bullish trigger. The BPI5TC index remains below the BSI58 index (Handy7TC as well), so that's another pointer to at least a rebound. Coal demand in Asia remains relatively low. The monsoon season in India is expected to be stronger and last a bit longer than usual, so there could be some weeks before things liven up there.

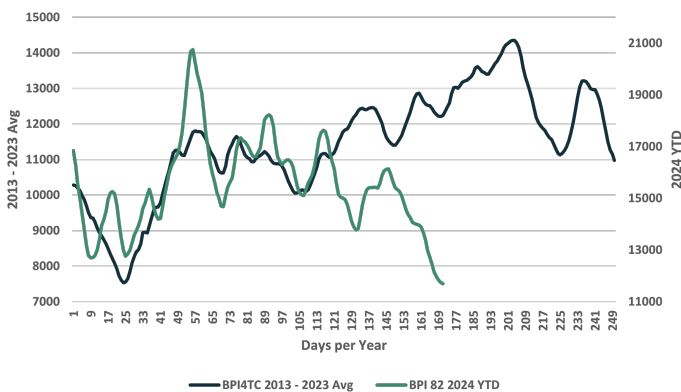
Panamax / Kamsarmax Heading to the US



Panamax / Kamsarmax Heading to Canada



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax / Kamsarmax Laden to India with Coal

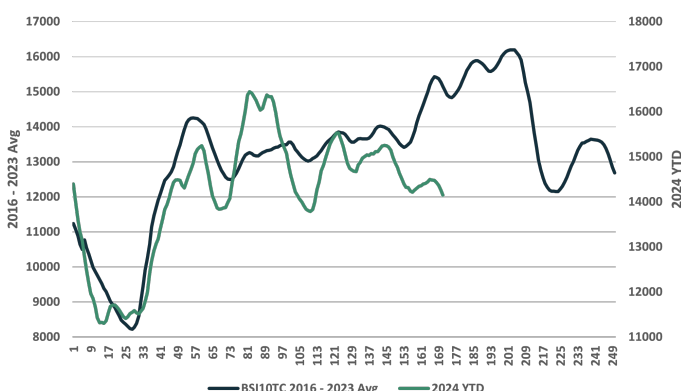


Supramax/Ultramax

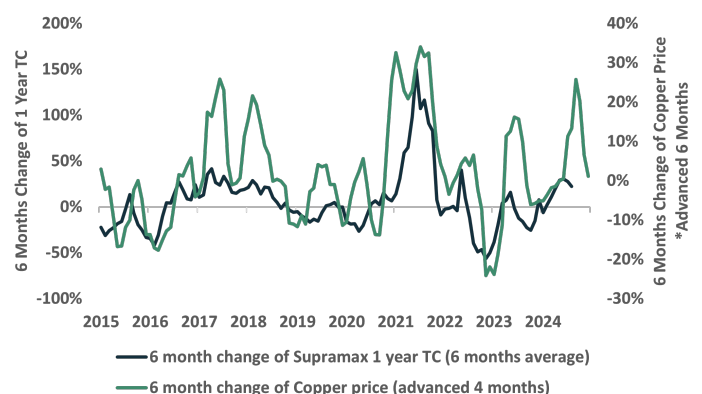
Direction-wise, average seasonality continued to be tracked closely, although market levels have been lower than what seasonality suggested.

Should seasonality continue to be tracked, there will be another bounce next week. The strength of this bounce will depend on the factors mentioned in the Panamax / Kamsarmax section.

Supramax Seasonal Market Movement

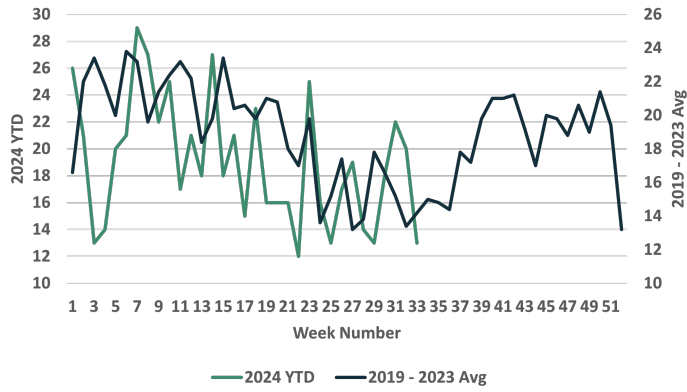


Copper Price Lead vs Supramax 1 Year TC

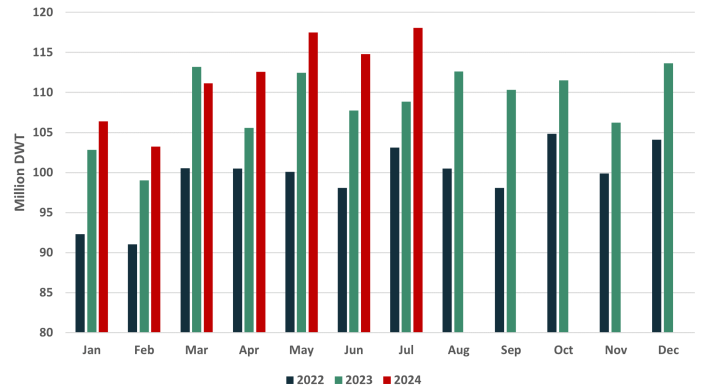




Supramax / Ultramax Weekly Grain Shipments - Canada & US



Supramax / Ultramax Monthly Total Loadings - 2022, 2023 and 2024





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